penalty provisions.

- At the same time this mechanism facilitates efficient industries to trade their additional certified energy savings (that go beyond the assigned target) with other designated consumers who could use these certificates to comply with their SEC-reduction targets.
- In the Twelfth Five Year Plan, the PAT scheme is likely to achieve about 15 million tonnes oil equivalent of annual savings in coal, oil, gas, and electricity (including 6.686 million ton of oil-equivalent energy savings of first phase).

  Similarly, the ***RPO*** (Renewable Purchase Obligation) is creating domestic markets for renewable energy through regulatory interventions at state level.
- The RPO is the minimum level of renewable energy (out of total consumption) the obligated entities (DISCOMs, Captive Power Plants, and Open Access Consumers) are entitled to purchase in the area of a distribution licensee.
- The obligation is mandated by the State Electricity Regulatory Commission (SERC). Since the renewable energy sources are not evenly spread across India, SERCs cannot specify a linear level of RPOs for all states.
- Renewable Energy Certificates (RECs) under the RPO mechanism is an instrument that enables the obligated entities to meet their Renewable Purchase Obligation by trading surplus or deficit RECs among themselves with the owner of the REC being able to claim to have purchased renewable energy.

Source: **Economic Survey 2012-13,** MoF, GoI, N. Delhi, p. 265.

In the context of making finances available to developing countries, in the recent past, much of the talks under the UNFCCC revolved around two numbers, namely US$ 30 billion between 2010 and 2012 as **FSF** (Fast Start Finance) and US$ 100 billion annually by 2020 as long-term finance. These were the two finance figures that the developed world collectively pledged as climate change finance in 2009. These pledges need to be new and additional. The term *'new and additional'* in the context of provision of